BERNSTEIN
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Global Internet

Global Internet: A framework for AI model commoditisation, and market segmentation


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A shift in the AI zeitgeist? We're long-term AI bulls, and have increasingly built agentic AI into our day-to-day workflows. That said, several recent events strike us as being noteworthy as far as AI competition and ROI is concerned. The high cost of Anthropic's Claude Fable 5 pricing causing devs to ration usage feels like a notable development. See also headlines pointing to OpenAI potentially cutting prices to win share, and large AI users (e.g. Tencent, Microsoft) doing a double-take on the costs of token-maxxing.

An alternative mental model for AI model commoditisation. Rather than model intelligence necessarily converging, we increasingly think AI model commoditisation will be driven by *human user perception* across various end uses, and the timeline on which competing models become "good enough", and reliable at scale. We've long argued that consumer-focused AI (ordering bubble tea, booking hotel rooms) will commoditise relatively quickly. Enterprise use cases like coding and Excel work are more complex, and will take longer to solve. Solving frontier science (e.g. defence, healthcare, nuclear fusion, space travel) likely merits the use of frontier AI more or less ad infinitum.

The implications for AI market segmentation… and competition. Once the AI supporting a given use case becomes "good enough", we'd expect the arbiter of competition and market share to shift from reasoning capabilities to availability and price. Our base case is the US frontier labs continue to unlock new model capabilities that command a rising price premium among increasingly specialised customers. Data security concerns and global geopolitics likely prevent some US and European enterprises from deploying Chinese models. But elsewhere we'd expect the Chinese AI labs to take share, serving "good enough" reasoning capabilities at significantly lower prices.

Chinese open source models as the value option. Hardware advancements will make it cheaper for the US frontier labs to serve tokens, and drive Jevon's Paradox. Nonetheless, it would surprise us if trailing edge AI *didn't* become another sector where Chinese competition takes market share, in part thanks to a willingness to accept lower prices and margins. The ability to follow global SOTA as a lighthouse for R&D direction means the Chinese AI labs need to do less exploratory research. Our market segmentation suggests they should be able to access 35-40% of the global AI TAM - even taking geopolitical constraints into consideration, and assuming minimal US traction.

Stepping off the exponential - and the path to AI lab profits. If we're right about AI commoditisation being driven by task completion and user perception, the implications for AI lab economics might actually be reasonably hopeful. Once a use case becomes "solved" the return on doing incremental R&D on the same topic diminishes, meaning R&D effort can be redirected elsewhere along the frontier. Over time, we'd expect the envelope of use cases worth spending exponentially higher amounts to solve will narrow… meaning aggregate model training costs rise more slowly, making it easier for the AI labs to show operating leverage.

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BERNSTEIN TICKER TABLE

			11 Jun 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
700.HK (Tencent)	O	HKD	457.20	780.00	(47.3)%	CNY	28.09	30.00	34.91	14.1	13.2	11.3
BABA (Alibaba)	O	USD	115.38	180.00	(23.7)%	CNY	65.41	26.82	46.57	12.0	29.1	16.8
9988.HK (Alibaba)	O	HKD	107.40	176.00	(44.8)%	HKD	8.82	3.69	6.68	10.5	25.2	13.9
ASIAX			1,920.52									
SPX			7,266.99									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We're AI bulls at a high level, but think events in the past week are worthy of attention. The high cost of Claude Fable 5 tokens making token-maxxing uneconomic wasn't necessarily on our list of high-likelihood events for the year, but likely accelerates the timeline on which AI devs and users start to examine AI ROI more closely. The idea that AI users will select across a range of models to match the marginal cost of tokens to the marginal benefit of task completion (with considerations perhaps given to quality-of-life aspects like response times and model "personality") makes sense to us.

To take things one step further, our mental framework for AI model commoditisation focuses on whether task completion becomes reliable at scale *as perceived by human users*, as opposed to some academic measure of underlying convergence. Once agentic AI "solves" various vertical use cases, we'd expect the arbiter of competition to shift from reasoning capabilities and task completion to more mundane variables like cost per task, reliability, and developer trust. The debate on whether the top Chinese AI models are 6 or 12 months behind US SOTA is intellectually interesting, but probably almost meaningless commercially except in the case of specialised use cases.

Longer term, we think it's logical to assume a two-tier market split across (1) the US SOTA labs serving the frontier, where the workloads become increasingly specialised and novel, while a narrower field of customers exhibits high willingness to pay; and (2) a market for trailing edge AI that serves more mundane enterprise and consumer end uses, where the availability and cost of reasoning drives adoption - and share shifts. Consumer-oriented AI should be one of the first end uses where a wide range of players achieve "good enough" status, for example.

VALUATION COMPS TABLE

EXHIBIT 1: **Asia Internet: valuation summary**

	Rating	Price target	Last price	Crncy	Market cap (US$mn)	PE 2026E	PE 2027E	PE 2028E	EV/sales 2026E	EV/sales 2027E	EV/sales 2028E
China Internet coverage											
Tencent	O	780	465.60	HKD	534,208	13.5x	11.6x	10.1x	4.5x	3.9x	3.4x
PDD	M	110	81.82	USD	116,462	7.5x	6.8x	6.0x	0.6x	0.4x	0.1x
Meituan	M	85	79.00	HKD	62,014	176.3x	16.3x	9.5x	0.8x	0.7x	0.6x
NetEase	O	150	125.52	USD	80,098	13.8x	12.8x	12.2x	3.3x	3.0x	2.8x
Boss Zhipin	O	18	13.24	USD	6,402	10.7x	8.9x	7.9x	2.4x	1.6x	1.1x
JD	O	40	28.45	USD	38,858	9.2x	6.7x	5.1x	0.2x	0.2x	0.2x
Alibaba	O	180	115.38	USD	276,812	28.9x	16.9x	14.4x	1.9x	1.7x	1.6x
China Internet other											
Kuaishou			46.02	HKD	25,219	10.4x	9.1x	8.1x	1.0x	0.9x	0.9x
Bilibili			18.08	USD	7,685	18.2x	13.9x	10.8x	1.1x	1.0x	0.9x
TME			9.21	USD	15,303	9.5x	8.6x	7.8x	2.0x	1.8x	1.7x
Baidu			117.48	USD	39,973	15.0x	13.4x	10.8x	1.2x	1.1x	1.0x
VIPshop			13.71	USD	6,585	5.4x	5.2x	4.9x	0.2x	0.2x	0.2x
Tencent Music			9.21	USD	15,303	9.5x	8.6x	7.8x	2.0x	1.8x	1.7x
Trip.com			47.97	USD	30,207	11.7x	10.3x	9.1x	2.4x	2.1x	1.9x
KE Holdings			16.00	USD	18,517	18.3x	15.7x	15.7x	1.1x	1.0x	1.0x
Asian Internet											
Naver	O	330,000	220,500	KRW	22,910	15.9x	14.4x	12.8x	1.7x	1.4x	1.2x
Kakao	O	80,000	37,650	KRW	11,268	21.9x	19.3x	15.9x	1.2x	0.9x	0.7x
Hybe	O	400,000	201,000	KRW	6,153	20.0x	19.8x	16.1x	1.3x	1.4x	1.2x
Coupang	U	12	15.12	USD	27,141	-41.2x	65.0x	32.7x	0.6x	0.6x	0.5x
Sea Ltd.			82.44	USD	50,493	22.1x	16.1x	12.8x	1.4x	1.2x	1.0x
Grab			3.27	USD	13,409	31.7x	21.2x	15.8x	2.2x	1.8x	1.6x
US Internet											
Amazon			238.00	USD	2,560,192	23.1x	20.5x	16.7x	3.2x	2.8x	2.6x
Alphabet			356.38	USD	4,320,705	24.9x	23.3x	19.4x	10.2x	8.4x	7.1x
Meta			570.98	USD	1,449,389	16.1x	14.8x	12.3x	5.8x	4.8x	4.1x
Netflix			82.00	USD	345,285	23.0x	21.2x	17.9x	6.8x	6.1x	5.5x
Uber			68.61	USD	139,662	21.1x	15.3x	12.5x	2.5x	2.2x	1.9x
Spotify			503.10	USD	103,554	34.0x	27.6x	22.6x	4.1x	3.6x	3.2x
DoorDash			151.00	USD	65,794	31.7x	21.6x	17.0x	3.6x	3.0x	2.5x

Pricing date June 3, 2026. The valuation multiples of our China and Asian Internet coverage are based on Bernstein estimates; the other companies shown reflect Bloomberg consensus estimates.
Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

DETAILS

A MENTAL MODEL FOR AI MODEL SEGMENTATION AND COMMODITISATION

The debate over whether AI models can remain differentiated or are doomed to commoditise in the long run remains a key one when it comes to the economic value associated with frontier intelligence, and the valuations of market bellwethers like OpenAI and Anthropic. Our own views on this topic have meandered over time. But we increasingly think a generalisable framework for AI model evolution, market competition, and how the AI industry as a collective “step off the exponential” hinges on *end user perceptions* of intelligence, and when task completion becomes “good enough” for various verticals, and reliable at scale… regardless of whether the underlying tech necessarily converges fully in a strict academic sense (see Exhibit 2).

As AI model performance continues to improve, and agentic task completion horizons lengthen, we’d expect a broadening range of tasks to become possible to an acceptable degree of accuracy, and then deployable at scale. This is especially true if we assume guardrails like user confirmation of transactions are embedded in the workflow, which helps to ring-fence the downside to reasoning errors. As of June 2026, AI-generated images and videos are already increasingly difficult to distinguish versus the real thing. Tencent’s Weixin agentic AI announcement - and Alibaba’s efforts within its Qwen app - suggest that purchases of bubble tea, flight tickets, or T-shirts will soon become ready for commercial deployment. Once task completion becomes reliable at scale, the return to doing more R&D on these end uses drops dramatically… which should mean the AI labs turn their energy towards more complex tasks.

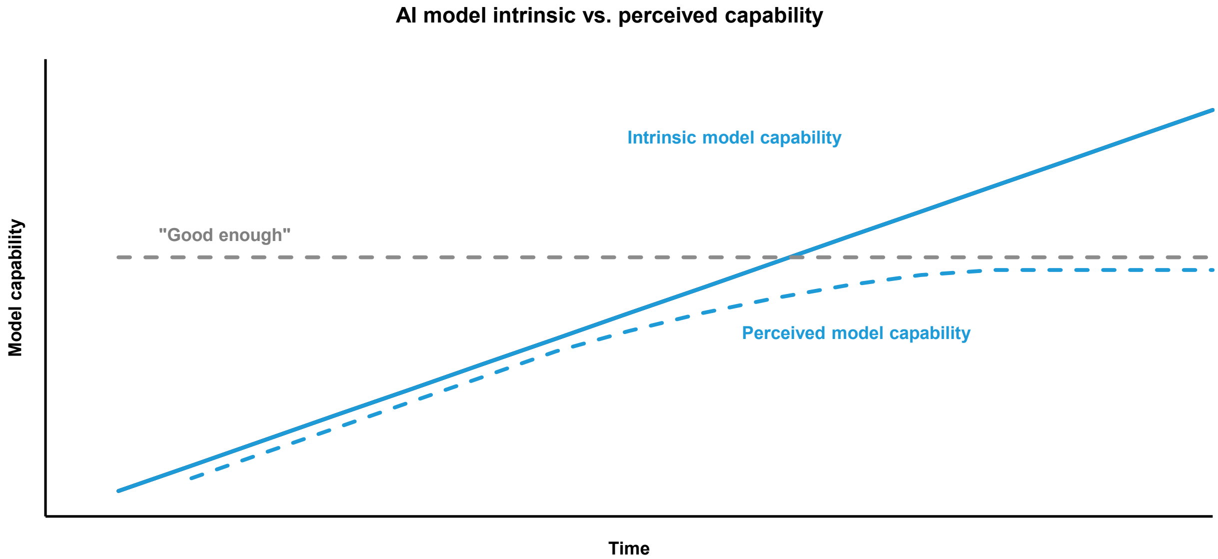
On a relative basis, we’d expect most consumer use cases for agentic AI to become “solved” relatively quickly, followed by more deterministic enterprise workloads (e.g. Excel work, imagine looking for hallucinations in several hundred lines of modelling), more complex strategic planning, and fields like cybersecurity (e.g. Project Glasswing), advanced engineering (e.g. Gen 7 fighter jets supported by autonomous drone swarms), and frontier science (drug discovery, nuclear fusion, space exploration).

Do AI models commoditise… when human users stop being able to tell them apart?

At the market level, our latest thinking is that there will be a “bell curve” of differentiation between the closed SOTA labs, and open source, where differences in capabilities diverge periodically, driven by access to compute and frontier R&D unlocking new capabilities. It feels plausible to us for example that the US frontier labs moving from Blackwell to Rubin and subsequent generations of chips will at least momentarily cause the gap between US and China SOTA to widen. But contrary to the “typical” theory we’ve heard of model convergence, where model intelligence somehow asymptotes, our view is that the *perceived gap in intelligence* almost certainly then re-converges over time, as technology diffusion takes place. 6-12 months is an eternity on the AI frontier, but a relatively short period in the real world, when compared against things like sticky consumer habits, and the often slow-moving gears of enterprise bureaucracy.

In practical terms, we’d expect AI models to commoditise at different speeds in different vertical use cases. Consumer use cases likely commoditise first, followed by generalist business use cases depending on the level of deterministic accuracy required in the output, e.g. brainstorming marketing ideas versus complex financial modeling. In fields like video gaming there’s no doubt that advancing AI capabilities will revolutionise development, though game success will still be influenced by IP strength and the fuzzy nature of creative quality. But we’ve been very surprised by the speed at which AI-generated music has proliferated. The last verticals of AI use to be considered commodity will probably centre around frontier science, like drug discovery, nuclear fusion, or space exploration, where highly specialised (and likely increasingly sovereign) end users have effectively unlimited willingness to pay.

EXHIBIT 2: **Our perception of AI model quality increasing centres around differentiable quality as perceived by humans, as opposed to underlying reasoning capabilities necessarily converging in a strict academic sense**



Source: Bernstein analysis.

ON MARKET SEGMENTATION... AND GLOBAL COMPETITION

Once agentic AI "solves" various vertical use cases, we'd expect the arbiter of competition to shift from task completion to more mundane variables like cost per task, reliability, and developer trust. Similar to how we've triaged our own AI use (having consumed something like 2bn tokens in the past month), offloading simpler tasks to cheaper flash models, there's very little logic in paying for Claude Fable 5 tokens to order bubble tea or T-shirts. Our own use of agentic AI setups like Hermes (2bn tokens consumed in the last couple of months) has been elucidating, and added to our conviction that AI users will select across a range of AI models to match the marginal cost of tokens to the marginal benefit of task completion. The high reasoning capabilities and cost of frontier models means they are most likely used to address the most valuable and mission-critical use case, while simpler tasks are handed off to cheaper "good enough" models (see Exhibit 3).

If we're right on the above progression, the implications for the division of the global AI profit pool are also striking. Our base case is US leaders remain the global SOTA, and advancing agentic AI capabilities unlock new, more complex use cases which command higher pricing from highly-motivated payers globally. In addition, we expect the realities of global geopolitics and issues like data security concerns to mean a meaningful cohort of enterprise customers (say some percentage of the Fortune 500, and large enterprises in other developed markets) find the idea of using a Chinese model unpalatable, leaving these customers the domain of OpenAI, Anthropic, Google, et al.

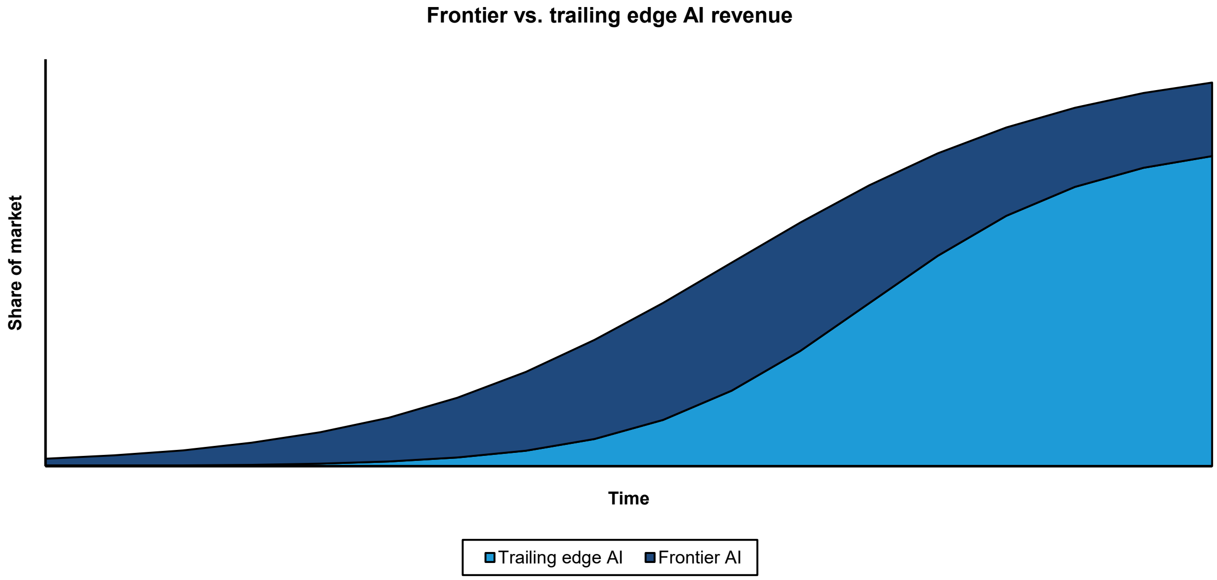
The accessible TAM for China AI

Outside this perimeter however, for a growing envelope of lagging edge workloads, especially outside the US, we'd expect the Chinese AI labs' much lower token costs to prove attractive, and help them win share.

Exhibit 4 shows directionally how we mentally break down the global agentic AI TAM by region and by end use - the latter broken down into sovereign/public sector workloads, large enterprises, and SMEs and hobbyists. We've assumed the US market is mostly off limits to Chinese AI labs in the very long run, and the market is left to US peers (recent news flow suggests US customers are paying prolifically for DeepSeek, but we're happy to be overly conservative here). In Europe, we've assumed greater enterprise and hobbyist appetite for adoption, but excluded the sovereign/public sector markets. In the rest of the world ex. China, we've assumed generally higher levels of appetite for adoption.

Exhibit 5 shows how we think the AI revenue TAM accessible to the China labs breaks down within the broader $1tn or so of global TAM. Collectively, the blue accessible markets total $320bn of revenue TAM, or around 35-40% of the global total.

EXHIBIT 3: **It feels notable that the cost of Claude Fable 5 tokens has driven a rethink of AI model usage by intelligence and cost... over time we expect trailing edge AI models to become "good enough" for most tasks**



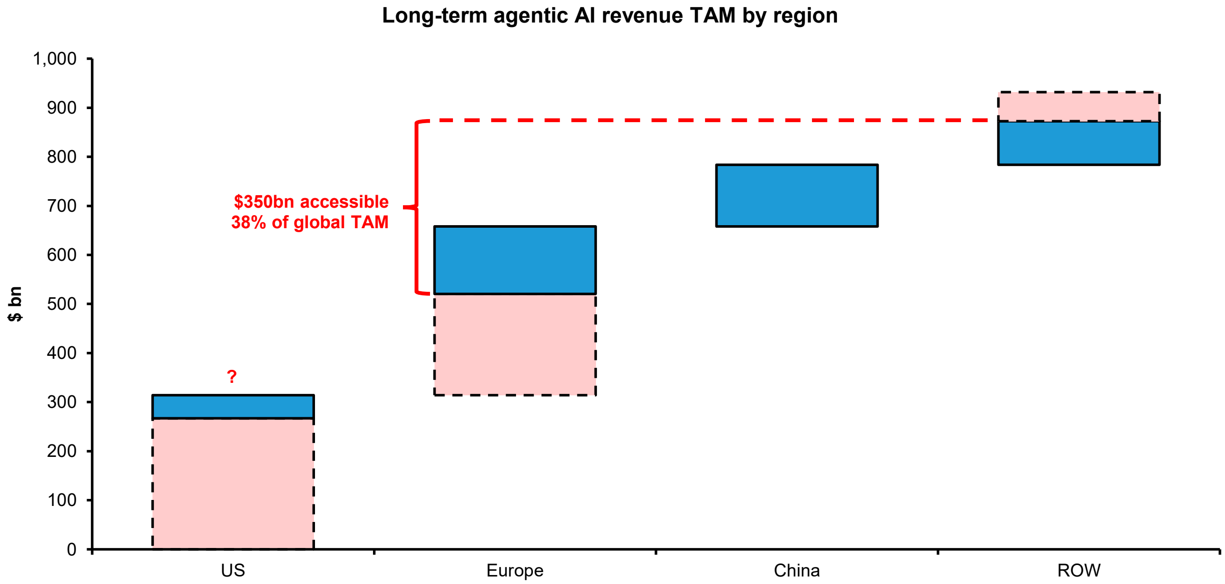
Source: Corporate reports and Bernstein analysis.

EXHIBIT 4: **We expect the Chinese AI labs to win share on the basis of their much cheaper tokens, but the accessibility of the overseas market will vary by region**

Region	Customer type	Accessibility	Comments
US	**Government**	Nil	• Assumed inaccessible for obvious geopolitical reasons
	Large enterprise	Low	• Likely reputational and data security concerns associated with use of Chinese AI model • Airbnb on record as having used Qwen model
	Private sector / start-ups	Moderate	• Some access is likely possible, discounted for conservatism • Minimax counts Canva, Twitter/X among its overseas customers
	Pro-sumers / hobbyists	High	• Widespread use of Chinese AI models due to lower token prices
Europe	**Government**	Nil	• Assumed inaccessible for geopolitical reasons
	Large enterprise	Moderate	• Likely reputational and data security concerns associated with use of Chinese AI model, though perhaps not to the same extent as the US
	Private sector / start-ups	Moderate	• Some access is likely possible
	Pro-sumers / hobbyists	High	• Ongoing use of Chinese AI models due to lower token prices
Rest of world	**Government**	Moderate	• Likely greater appetite for engagement with Chinese AI labs • Z.ai supporting soverign AI projects in Malaysia, expanding to Middle East
	Large enterprise	Moderate	• Assumed lower risk of geopolitical headwinds to adoption, greater sensitivity to lower AI token prices
	Private sector / start-ups	High	• Ongoing use of Chinese AI models due to lower token prices
	Pro-sumers / hobbyists	High	• Ongoing use of Chinese AI models due to lower token prices

Source: Corporate reports and Bernstein analysis.

EXHIBIT 5: **We think at least 35-40% of the long-term global TAM for AI will be accessible to the Chinese AI labs, even if we assume meaningful access constraints in the US and broader developed markets**



Source: Corporate reports and Bernstein analysis.

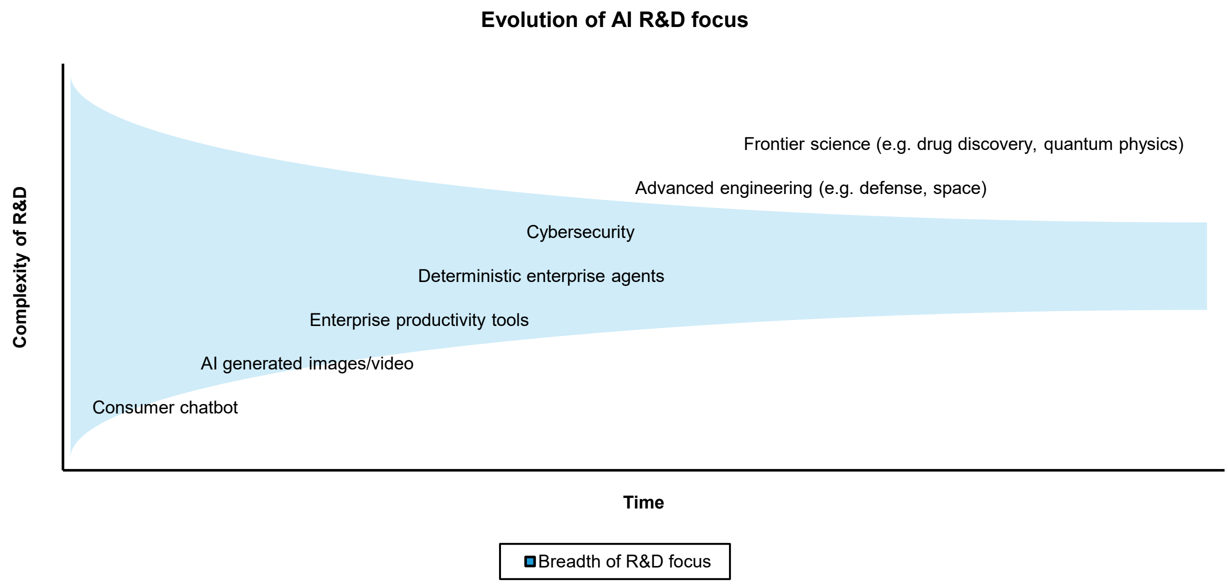
STEPPING OFF THE EXPONENTIAL R&D TREADMILL?

If we're right about the trajectory of AI commoditisation, the implications for long-term AI lab economics might actually be reasonably hopeful. The variable economics of AI model inference are generally respectable to very strong. In the foreseeable future we expect R&D spend among China's top AI labs to continue to rise rapidly - 50% CAGR for five years was described as "unsurprising" when we floated the idea with Z.ai and Minimax.

Over time though, we're hopeful the ability of these companies to focus their model training budgets across a narrower set of model modalities and end uses should mean R&D expense growth levels off over time (see Exhibit 6). Mechanically, the absolute dollars spent will likely continue to trail US peers by a wide margin, reflecting a combination of (1) lower developer costs per hour; (2) the second mover advantage of being able to follow global SOTA as a lighthouse for R&D direction; to a lesser extent (3) the smart use of clusters of lagging edge chips.

Looking at the rest of the AI lab P&L, inference margins are a product of compute costs and model efficiency, and are respectable to strong for most AI labs. Operating expenses ex. R&D should remain relatively lean: marketing spend for example should remain relatively modest in an environment where superior reasoning capability more or less sells itself.

EXHIBIT 6: **Over time we expect a wider range of AI end uses to become "good enough" and therefore no longer worthy of incremental R&D, allowing the AI labs to move on to more frontier end uses**



Source: Bernstein analysis.

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VALUATION METHODOLOGY

Tencent Holdings Ltd

We value Tencent at HK$780 per share, on a 20x FY+1 (i.e. Quarters 5-8) PE multiple.

Alibaba Group Holding Ltd

We value Alibaba at US$180/HK$176 per share, based on our SOTP valuation for FY+1 revenues and profits in its core e-commerce and Cloud businesses.

RISKS

Tencent Holdings Ltd

The main downside risks associated with Tencent include macroeconomic risks (e.g. credit, retail consumption), fluctuations in user engagement with its platforms, gaming and advertising demand competition with rival internet platforms, and regulatory risks – for example related to China's anti-monopoly regulations.

Alibaba Group Holding Ltd

The main downside risks associated with our price target for Alibaba include macroeconomic risks (e.g. credit, retail consumption), fluctuations in user engagement with Taobao, Tmall, and other platforms, competition with rival internet platforms, regulatory risks – for example related to China's anti-monopoly regulations, and losses in the company's innovation initiatives & others segment.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

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- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.1%	16.5%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of March 31, 2026. All figures are updated quarterly.

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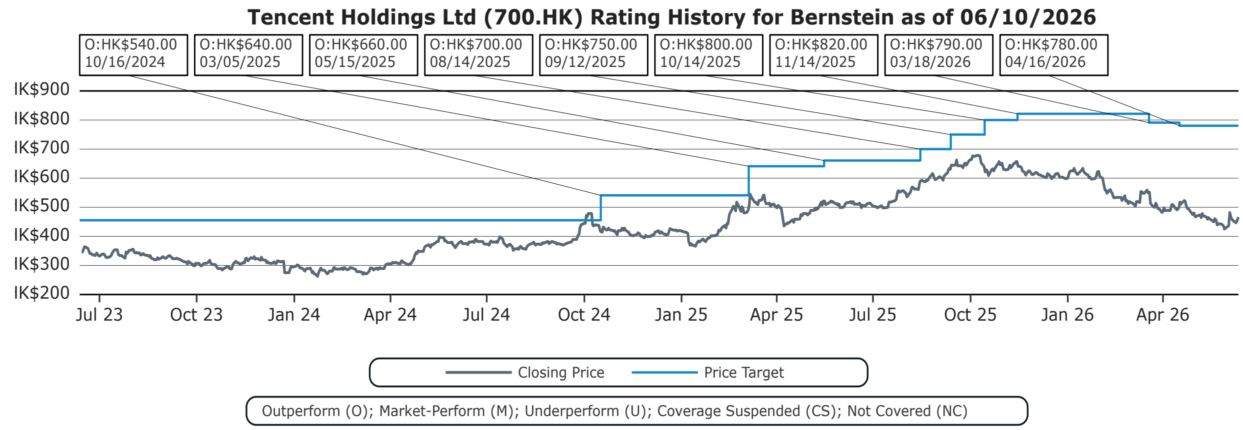

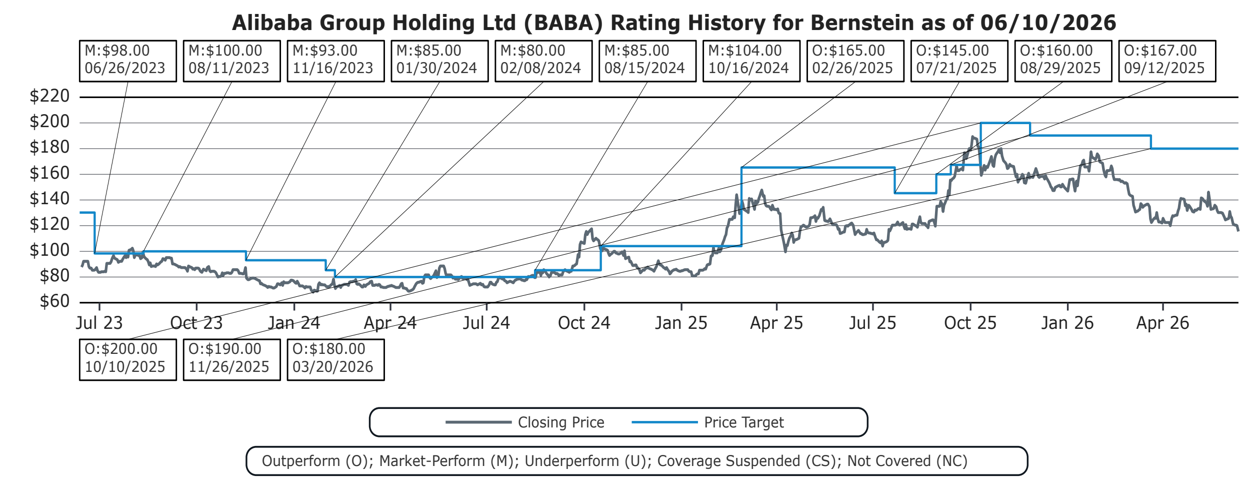

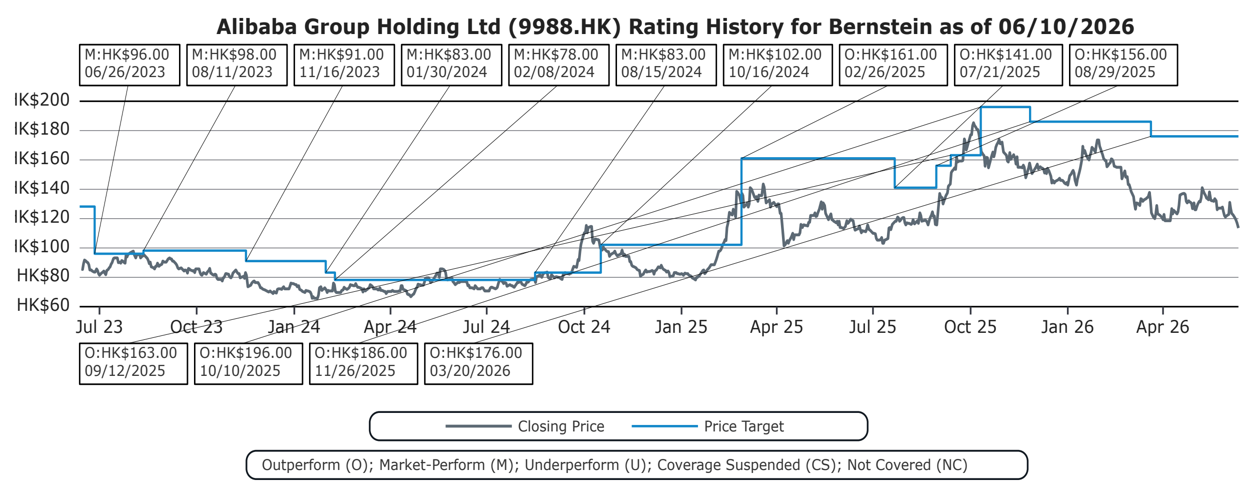

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